which is different from the EPA line mentioned above) is deemphasized. However, it's an interesting notion. The ETA line *does* provide timing information, and I'd rather have such an educated guess than not have it. To use it, just drop a vertical line at the apex down until it reaches a line drawn connecting turns 1 and 4. I'll discuss this more later.

In this example, price touches line 1–4 (EPA) at C, signaling an end to the trade.

If you look at this chart, notice that the Wolfe wave appears right at the end of the uptrend. And it tells you to cover your short at C, almost near the bottom of the decline before the stock recovers. That's terrific timing.

How do we find the various turning points?

## Identification Guidelines

**Table 75.1** shows the identification guidelines. Consult **Figure 75.2** for additional guidance as we go through the list of rules.

**Points 1, 2.** Wolfe suggests finding a Wolfe wave by locating point 2 first. It's any minor low or valley on the chart. Point 1 is the *top* of the prior hill. I emphasize the word, *top*.

In Wolfe's charts, he shows two examples where turn 1 is *not* at the top of the prior hill (in other words, line 1–3 cuts through price instead of resting on the top of the hill formed at turn 1). In my model, I did not accept this behavior. I always used peaks for point 1.

**Point 3.** From the valley at turn 2, price rises and peaks at point 3. Turn 3 must be higher than turn 1.